BOC
A Linde company

UNAUDITED GROUP RESULTS FOR THE SIX-MONTH PERIOD ENDED 30 JUNE 2023

The Directors of BOC KENYA PLC are pleased to announce the unaudited Group results for the six-month period ended 30 June 2023

Summarised consolidated income statement
For the six-month period ended 30 June 2023

	2023 KES '000	2022 KES '000
Revenue	589,987	504,185
Earnings before finance income and taxes	**71,033**	**52,615**
Net finance income	602	7,252
Profit before tax	71,635	59,867
Income tax expense	(21,275)	(20,797)
Profit for the year	**50,360**	**39,070**
Basic earnings per share	2.58	2.00

Dividend for the period		
Interim declared	**Nil**	**1.60**

Summarised consolidated statement of financial position
As at 30 June 2023

	2023 KES '000	2022 KES '000
ASSETS		
Non-current assets	810,000	842,566
Current assets	1,215,087	1,251,621
Total assets	**2,025,087**	**2,094,187**
EQUITY AND LIABILITIES		
Share capital	97,627	97,627
Retained earnings	1,511,002	1,415,657
Capital and other reserves	134,863	112,337
Total equity	**1,743,492**	**1,625,621**
Non-current liabilities	7,678	7,726
Current liabilities	273,917	460,840
Total liabilities	**281,595**	**468,566**
Total equity and liabilities	**2,025,087**	**2,094,187**

Summarised consolidated statement of cash flows
For the six-month period ended 30 June 2023

	2023 KES'000	2022 KES'000
Cash generated from operations	**(82,680)**	**(55,498)**
Tax paid	(31,770)	(40,650)
Net cash from operating activities	**(114,450)**	**(96,148)**
Cash received/(used) in investing activities	(10,326)	(34,036)
Net interest received	-	7,252
Increase/(decrease) in cash and cash equivalents	**(124,776)**	**(122,932)**
At beginning of the period	**277,118**	**585,794**
Net increase/(decrease)	(124,776)	(122,932)
Effect of exchange rates	50	173
At the end of the period	**152,392**	**463,035**

Summarised consolidated statement of changes in equity
For the six-month period ended 30 June 2023

	2023 KES'000	2022 KES'000
At 1 January	**1,661,628**	**1,588,812**
Net profit for the year	50,360	39,070
Change in available for sale financial assets	31,631	-
Currency translation	(126)	(2,261)
Dividends	-	-
At 30 June	**1,743,493**	**1,625,621**

Overview:

Demand for industrial gases during the six-month period ended 30 June 2023 was depressed due to the prevailing economic conditions, the most acute being a significant increase in the cost of electricity, diesel and other distribution fleet costs as well as the depreciation of the Kenya shilling. These challenges notwithstanding, revenue for period was 17% higher than that for the same period in 2022 due to increased demand for medical oxygen and ongoing medical gases infrastructure projects in hospitals.

In addition to ensuring good control over costs, the Company is continuing to engage with customers on the inevitable price reviews. With this effort, the increased demand for medical oxygen and the ongoing projects, Profit after Tax has increased by 29% compared to the same period last year.

These unaudited financial statements have been prepared based on the same accounting policies as the previous audited accounts.

Outlook:

Rising costs remain a concern for the second half of the year.

- The electricity tariff for industrial customers on which the Company pays for power was adjusted upwards by 60% with effect from 1 April 2023. The impact of this change will therefore impact the business in the remaining six months of the year to December compared to three months in the first half.
- The continuing depreciation of the Kenya shilling against the dollar is having an adverse effect on the cost of imported raw materials, goods for resale and spare parts. The cost of diesel is expected to remain high while implementation of the Finance Act 2023 will impact the business on certain cost items.

However, the Company expects that the financial results of the first half of 2023 will be maintained in the second half of the year. The business has invested heavily in projects which have tied up working capital, which are expected to be realised in the second half of the year.

Dividend:

The Board of directors has considered it prudent **not to** declare an interim dividend at 30 June 2023 because of current working capital needs. The Company is funding the various medical gases infrastructure tenders through its own cash-resources rather than borrowings.

In the prior year's six-month period to 30 June 2022, the Directors declared a dividend of KES 1.60 per share.

BY ORDER OF THE BOARD

RUTH NGOBI
COMPANY SECRETARY
BOC KENYA PLC

24 August 2023